D. Allocation

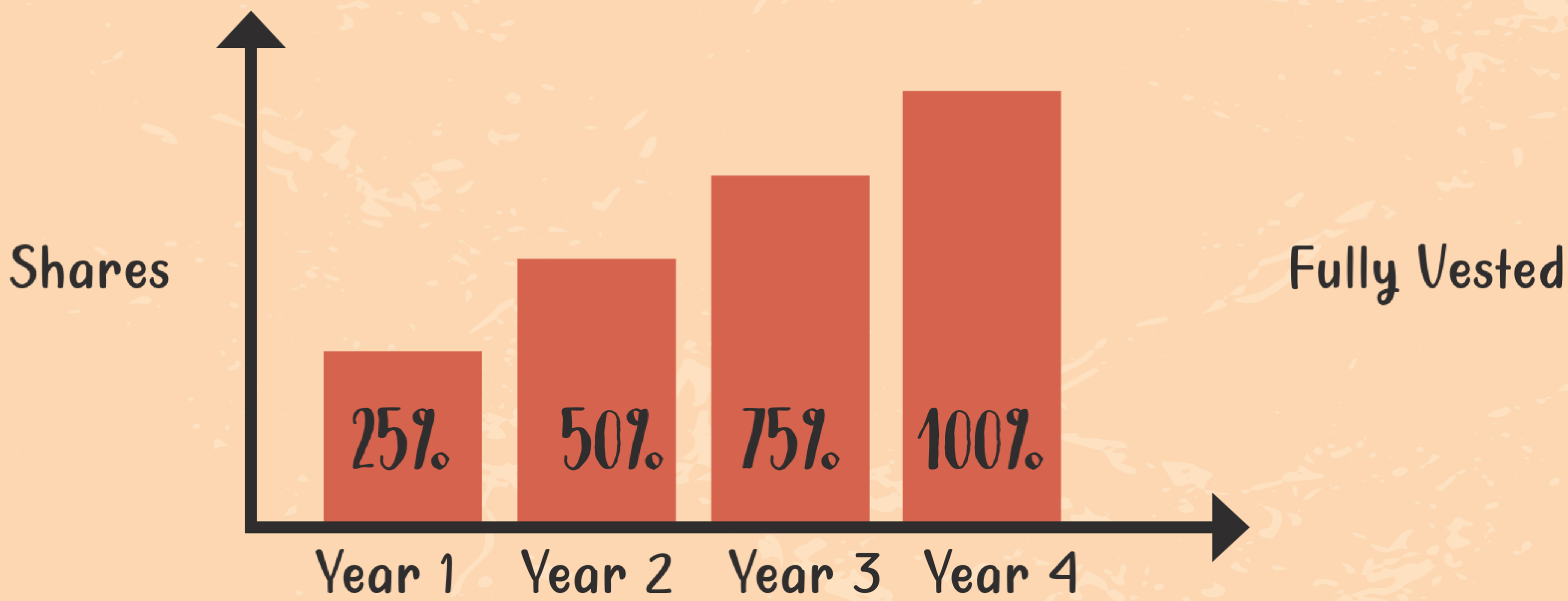
The trust allocates shares to employee accounts based on factors such as compensation, tenure, and company policies. This ensures equitable distribution and incentivises long-term commitment.

E. Vesting Period

The vesting period is the time an employee must wait before gaining full ownership of their allocated ESOP shares. Once fully vested, employees gain complete rights and can exercise their options. Most companies follow a four-year vesting period.

F. Vesting Schedule

The vesting schedule is how the stock options allotted to an employee will be split over the vesting period. If the vesting period is four years, the stock options may vest gradually over time. For example, in year 1, 25% of ownership rights are allocated, and so on, and by the end of the 4th year, the employee is fully vested.



G. Distribution

Distribution refers to receiving benefits under certain circumstances such as retirement, leaving the company or meeting specific criteria mentioned in the plan. Employees can receive it in the form of company stock or cash, depending on the rules of the ESOP plan.